ArcRoyal Unlimited Company

Directors' report and financial statements

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ArcRoyal Unlimited Company

Directors and other information

Directors	Julie Munzinger (American) (*Retired 05th March 2019*) Charles Colpo *(American)* (*Retired 05th March 2019)* Eoin O'Dwyer (Irish) Pierre Deschamps (French) (Appointed 05th March 2019)
Secretary	Gillian Rea (Appointed 18th June 2020)
Registered office	Virginia Road Kells Co Meath
Auditor	KPMG Chartered Accountants 1 Stokes Place St. Stephen's Green Dublin 2
Bankers	JP Morgan Bank N.A Chaseside Bournemouth BH7 7DA UK
Solicitors	LK Shields 40 Mount Street Upper Dublin 2
Company number	138763

ArcRoyal Unlimited Company

Directors' report

The Directors' present their Directors' report and audited financial statements of the company for the year ended 31 December 2019.

Principal activities

The company manufactures and sells custom sterile procedural packs and sterile surgical disposables.

Business review and future activities

At the beginning of 2017, one of ArcRoyal's main customers transitioned its customer base for ArcRoyal's products to Owens & Minor Ireland, a parent company of ArcRoyal. ArcRoyal continued to sell these products through an affiliate, Owens & Minor Healthcare International, during 2018 and 2019. From 01 May 2020 ArcRoyal no longer sells to third party customers – it now sells all its product to an affiliate company O&M Halyard which has distribution centres in Ireland, Belgium and Germany – they supply their customers from these distribution centres.

Principal risks and uncertainties

The key risk and uncertainty facing the future development of the company continues to be competing in a very price sensitive market.

The directors have developed a range of strategies to address this and other risks faced by the company and are confident that these factors are being managed effectively.

In monitoring the company's performance, the directors and management have regard to a range of key performance indicators in respect of sales, margins, operational KPIs and expense management. These are monitored by management to budget on an on-going basis. The key performance indicators of sales and margin for the year are set out within the profit and loss account on page 8.

Results and dividends

The results for the year are set out on page 8. During the year no dividends were paid *(2018: €Nil)*.

Directors, secretary and their interests

The names of the persons who were directors during the year are stated on page 1. Except where indicated, they served as directors for the entire year.

None of the directors and secretary who held office at 31st December 2019 had any interests in the shares or debentures or loan stock of the company.

The directors are not required to retire by rotation.

Owens and Minor Inc. is the ultimate parent entity of ArcRoyal

ArcRoyal Unlimited Company

Directors' report *(continued)*

Post balance sheet events

All post balance sheet events have been disclosed in note 14 of the financial statements.

Accounting records

The directors believe that they have complied with the requirements of Section 281 to 285 of the Companies Act 2014 regarding maintaining adequate accounting records by employing personnel with appropriate expertise and by providing adequate resources to the financial function. The accounting records of the company are maintained at the registered office at Virginia Road, Kells, Co Meath

Relevant audit information

The directors believe that they have taken all steps necessary to make themselves aware of any relevant audit information and have established that the company's statutory auditor is aware of that information. In so far as they are aware, there is no relevant audit information of which the company's statutory Auditor is unaware.

Auditor

In accordance with Section 383(2) of the Companies Act 2014, the auditor, KPMG, Chartered Accountants, will continue in office.

On behalf of the board

E. O Dwyer
Director

P Deschamps
Director

19 November 2020

ArcRoyal Unlimited Company

Statement of directors' responsibilities in respect of the directors' report and financial statements

The directors are responsible for preparing the directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with FRS 101 *Reduced Disclosure Framework*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities and financial position of the company and of its profit or loss for that year. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records which disclose with reasonable accuracy at any time the assets, liabilities, financial position and profit or loss of the company and enable them to ensure that the financial statements comply with the Companies Act 2014. They are responsible for such internal controls as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the company and to prevent and detect fraud and other irregularities. The directors are also responsible for preparing a directors' report that complies with the requirements of the Companies Act 2014.

On behalf of the board

E O Dwyer
Director

P Deschamps
Director

19 November 2020

KPMG

KPMG
Audit
1 Stokes Place
St. Stephen's Green
Dublin 2
D02 DE03
Ireland

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF ARCROYAL UNLIMITED COMPANY

Report on the audit of the financial statements

Opinion

We have audited the financial statements of ArcRoyal Unlimited Company ('the Company') for the year ended 31 December 2019, which comprise the profit and loss account and other comprehensive income, the balance sheet, the statement of changes in equity and related notes, including the summary of significant accounting policies set out in note 1. The financial reporting framework that has been applied in their preparation is Irish Law and FRS 101 Reduced Disclosure Framework.

In our opinion, the accompanying financial statements:

• give a true and fair view of the assets, liabilities and financial position of the Company as at 31 December 2019 and of its loss for the year then ended;

• have been properly prepared in accordance with FRS 101 Reduced Disclosure Framework; and
• have been properly prepared in accordance with the requirements of the Companies Act 2014.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (Ireland) (ISAs (Ireland)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with ethical requirements that are relevant to our audit of financial statements in Ireland, including the Ethical Standard issued by the Irish Auditing and Accounting Supervisory Authority (IAASA), and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

We have nothing to report on going concern

We are required to report to you if we have concluded that the use of the going concern basis of accounting is inappropriate or there is an undisclosed material uncertainty that may cast significant doubt over the use of that basis for a period of at least twelve months from the date of approval of the financial statements. We have nothing to report in these respects.

Other information

The directors are responsible for the other information presented in the Annual Report together with the financial statements. The other information comprises the information included in the directors' report. The financial statements and our auditor's report thereon do not comprise part of the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except as explicitly stated below, any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work we have not identified material

KPMG

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF ARCROYAL UNLIMITED COMPANY (CONTINUED)

Other information (continued)

misstatements in the other information.

Based solely on our work on the other information, we report that:

• we have not identified material misstatements in the directors' report;
• in our opinion, the information given in the directors' report is consistent with the financial statements;
• in our opinion, the directors' report has been prepared in accordance with the Companies Act 2014.

Opinions on other matters prescribed by the Companies Act 2014

We have obtained all the information and explanations which we consider necessary for the purposes of our audit.

In our opinion the accounting records of the Company were sufficient to permit the financial statements to be readily and properly audited and the financial statements are in agreement with the accounting records.

Matters on which we are required to report by exception

The Companies Act 2014 requires us to report to you if, in our opinion, the disclosures of directors' remuneration and transactions required by Sections 305 to 312 of the Act are not made. We have nothing to report in this regard.

Respective responsibilities and restrictions on use

Responsibilities of directors for the financial statements

As explained more fully in the directors' responsibilities statement set out on page [ ], the directors are responsible for: the preparation of the financial statements including being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (Ireland) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF ARCROYAL UNLIMITED COMPANY (CONTINUED)

Auditor's responsibilities for the audit of the financial statements (continued)

basis of these financial statements.

A fuller description of our responsibilities is provided on IAASA's website at https://www.iaasa.ie/getmedia/b2389013-1cf6-458b-9b8f-a98202dc9c3a/Description_of_auditors_responsiblities_for_audit.pdf.

The purpose of our audit work and to whom we owe our responsibilities

Our report is made solely to the Company's members, as a body, in accordance with Section 391 of the Companies Act 2014. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Date: 23 November 2020

Caroline Flynn

Signature:
Caroline Flynn
for and on behalf of
KPMG
Chartered Accountants, Statutory Audit Firm

1 Stokes Place
St. Stephen's Green
Dublin 2

ArcRoyal Unlimited Company

Profit and loss account and other comprehensive income
for the year ended 31 December 2019

	Note	**2019** **€'000**	2018 €'000
Turnover	*2*	**38,685**	38,173
Cost of sales		**(33,923)**	(34,036)
Gross profit		**4,762**	4,137
Administrative expenses		**(2,235)**	(2,293)
Distribution expenses		**(691)**	(649)
Selling and marketing expenses		**(26)**	(500)
Exceptional Cost	*3*	**(4,304)**	-
Operating (loss) / profit		**(2,494)**	695
Interest payable and similar charges	*4*	**(202)**	(71)
(Loss) / Profit on ordinary activities before taxation	*5*	**(2,696)**	624
Tax charge on profit on ordinary activities	*7*	**(105)**	(73)
Total comprehensive (loss) / income for the financial year		**(2,801)**	551

All recognised gains and losses have been reflected in the profit and loss account and comprehensive income for both the current year and preceding year and arise solely from continuing activities.

ArcRoyal Unlimited Company

Balance sheet
as at 31 December 2019

	Note	2019 €'000	2018 €'000
Fixed assets			
Tangible fixed assets	*8*	**818**	713
Current assets			
Stocks	*9*	**7,600**	6,432
Debtors	*10*	**10,805**	12,520
Cash and cash equivalents	*11*	**937**	1,840
		19,342	20,792
Creditors: amounts falling due within one year	*12*	**(9,629)**	(8,173)
Net current assets		**9,713**	12,619
Net assets		**10,531**	13,332
Capital and reserves			
Called up share capital	*13*	**381**	381
Capital contribution		**400**	400
Profit and loss account		**9,750**	12,551
Shareholders' funds – equity		**10,531**	13,332

On behalf of the board

E. G.Dwyer
Director

P Deschamps
Director

ArcRoyal Unlimited Company

Statement of changes in equity
for the year ended 31 December 2019

	Called up share capital €'000	Capital contribution €'000	Profit and loss account €'000	Total equity €'000
Balance at 1 January 2018	381	400	12,000	12,781
Comprehensive income				
Profit for the year	-	-	551	551
Total comprehensive income for the year	-	-	551	551
Balance at 31 December 2018	**381**	**400**	**12,551**	**13,332**
Balance at 1 January 2019	381	400	12,551	13,332
Comprehensive income				
Profit / (loss) for the year	-	-	(2,801)	(2,801)
Total comprehensive income for the year	-	-	(2,801)	(2,801)
Balance at 31 December 2019	**381**	**400**	**9,750**	**10,531**

The accompanying notes form an integral part of the financial statements.

1 Accounting policies

ArcRoyal is a private unlimited company domiciled and registered in the Republic of Ireland. The company's registered office is at Virginia Road, Kells, Co. Meath.

These financial statements were prepared in accordance with Financial Reporting Standard 101 *Reduced Disclosure Framework* ("FRS 101"). There have been no material departures from the Standards.

In preparing these financial statements, the company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards as adopted by the EU ("Adopted IFRS"), but makes amendments where necessary in order to comply with the Companies Act 2014 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

In the transition to FRS 101, the company has applied IFRS 1 whilst ensuring that its assets and liabilities are measured in compliance with FRS 101. The accounting policies set out in this note have been applied in preparing the financial statements for the year ended 31 December 2019 and the comparative information presented in these financial statements for the year ended 31 December 2019

In these financial statements, the company has adopted certain disclosure exemptions available under FRS 101. These include:

- a cash flow statement and related notes;
- disclosures in respect of the compensation of key management personnel;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- certain comparative information;
- the effects of new but not yet effective IFRSs.

The Company's ultimate parent undertaking, Owens & Minor Inc. includes the Company in its consolidated financial statements. The consolidated financial statements of Owens & Minor Inc. are prepared in accordance with U.S. generally-accepted accounting principles are available to the public and may be obtained from 9120 Lockwood Boulevard, Mechanicsville, Virginia, USA or www.owens-minor.com.

1.1 Measurement convention

The financial statements have been prepared on the historical cost basis except for assets and liabilities arising on financial instruments classified as fair value through the profit and loss which are presented at fair value.

1.2 Functional currency

These financial statements are presented in Euro, being the functional currency of the company. All financial information presented in Euro has been rounded to the nearest thousand except where otherwise stated.

1 Accounting policies *(continued)*

1.3 Foreign currency

Transactions in foreign currencies are translated to the functional currency of the company at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Foreign currency differences are generally recognised in profit or loss. Non-monetary items that are measured based on historical cost in a foreign currency are not translated.

1.4 Use of estimates and judgements

In preparing these financial statements management has made judgements, estimates and assumptions that affect application of the company accounting policies and the reported amounts of assets, liabilities, income and expenses. Such estimates and judgements are based on historical experience and other factors, including expectation of future events that are believed to be reasonable. Actual outcomes may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively. The key accounting judgements and sources of estimation affecting these financial statements are those relating to stock provisions and valuation of deferred tax assets.

1.5 Going concern

The financial statements have been prepared on the going concern basis.

1.6 Turnover

Turnover represents the fair value of goods and services, net of discounts and VAT, supplied to external customers during the accounting period. Turnover is recognised when the goods have been dispatched.

1.7 Expenses

Interest receivable and interest payable
Interest payable and similar charges include interest payable and net foreign exchange losses that are recognised in the profit or loss (see foreign currency accounting policy). Other interest receivable and similar income include interest receivable on funds invested and net foreign exchange gains.

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method. Foreign currency gains and losses are reported on a net basis.

1.8 Taxation

The income tax expense comprises current and deferred tax. It is recognised in the income statement except to the extent that it relates to items recognised in other comprehensive income or directly in equity, in which case it is recognised in other comprehensive income or directly in equity.

1 Accounting policies *(continued)*

1.8 Taxation (continued)

Current tax is the expected tax payable on the taxable income for the year using tax rates and laws that have been enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and amounts used for taxation purposes. A deferred tax asset is recognised to the extent that it is probable future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

1.9 Tangible fixed assets and depreciation

Tangible fixed assets are stated at cost less accumulated depreciation.

Depreciation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of an item of tangible fixed assets. Land is not depreciated. The estimated useful lives are as follows:

Equipment	8 to 10 years
Computer equipment	4 years
Sterilisation facility	8 years
Motor vehicles	3 years
Leased assets	over the term of the lease

Depreciation methods, useful lives and residual values are reviewed at each balance sheet date.

1.10 Stocks

Stocks are stated at the lower of cost and net realisable value. Cost is based on the first-in first-out principal and includes expenditure incurred in acquiring the stocks, production of conversion costs and other costs in bringing them to their location and condition. In the case of manufactured stocks and work in progress, cost includes an appropriate share of overheads based on normal operating capacity.

1.11 Employee benefits

Defined contribution plans
A defined contribution plan is a post-employment benefit plan under which the company pays fixed contributions into a separate entity and has no legal or constructive obligation to make further payments
Obligations for contributions to defined contribution plans are expensed in the profit and loss account as the related service is provided. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

ArcRoyal Unlimited Company

Notes *(continued)*

1 Accounting policies *(continued)*

1.12 Non-derivative financial instruments

Trade and other debtors
Trade and other debtors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses. If payments received from customers exceed the income recognised, then the difference is presented as deferred income.

Trade and other creditors
Trade and other creditors are initially recorded at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Cash and cash equivalents
Cash and cash equivalents comprise cash balances and call deposits. Cash equivalents are short-term highly liquid investments with an original maturity of three months or less from the date of acquisition that are readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

Ordinary shares
Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects

Ordinary dividends declared as final dividends are recognised as a liability in the period in which they are approved by shareholders. Interim dividends are recognised as a liability when declared.

1.13 Exceptional item

Two distributors of ArcRoyal converted their ERP systems from Oracle to SAP during Q4 2019 – This left an Oracle IT asset on the books of the distributors. It was decided to accelerate the amortisation of this asset such that its NBV was zero when the conversion to SAP went live. The amortisation charge was booked to ArcRoyal as under the distribution agreement the two distributors had a guaranteed margin, therefore IT write off costs would be borne by the ultimate beneficiary of the business – ArcRoyal.

1.14 New Accounting Standards

Under FRS 101 Reduced Disclosure Framework IFRS 16 *Leases* has come into effect for the year end 31 December 2019. Arc Royal uc has not entered into any leases in the past. The standard has had no impact on the preparation of the financial statements.

2 Turnover

All turnover derives from the sale of custom prepared trays and surgical accessories.

No analysis of turnover by activity and geographical area as required by the Companies Act 2014 has been included in these financial statements as the directors are of the opinion that such disclosure would be seriously prejudicial to the company's competitive position.

ArcRoyal Unlimited Company

Notes *(continued)*

3 Exceptional Item

	2019 €'000	2018 €'000
Exceptional Item	**4,304**	-
	4,304	-

With the AROMI integration project and the move to SAP for OM Italia and OMHI (both group company distributors of ArcRoyal) it was decided to accelerate depreciation of the related Oracle IT asset of Movianto UK Holdings over period Sep-Dec 2019.

The expense had been recharged to OMHI and OMI Italia and, as these entities are distributors of Arc Royal with a contractually agreed operating margin the expense was charged to Arc Royal..

4 Interest payable and similar charges

	2019 €'000	2018 €'000
Bank charges	**28**	41
Net foreign exchange loss	**174**	30
	202	71

5 Statutory and other information

The profit on ordinary activities before taxation is stated after charging/(crediting) the following:

	2019 €'000	2018 €'000
Depreciation of tangible fixed assets	**142**	160
Auditor's remuneration	**16**	14
Directors' remuneration		
- salary	**-**	-
- retirement benefits	**-**	-

6 Staff numbers and costs

The average number of persons employed by the company (including executive directors) during the year, analysed by category, was as follows:

	Number of employees 2019	2018
Production	**167**	156
Administration	**66**	66
	233	222

The aggregate payroll costs of these persons were as follows:	2019 €'000	2018 €'000
Wages and salaries	**6,141**	5,976
Social welfare costs	**644**	651
Retirement benefits	**145**	142
	6,930	6,769

7 Tax on profit on ordinary activities

	2019 €'000	2018 €'000
Analysis of tax charge in the year		
Current tax:		
Corporation tax current year	**105**	73
	105	73
Deferred tax:		
Origination and reversal of timing differences (note 10)	-	-
Tax on profit on ordinary activities	**105**	73

	2019 €'000	2018 €'000
Profit and loss total tax reconciliation		
(Loss)/Profit on ordinary activities before tax	**(2,696)**	624
Expected current tax at 12.5% *(2018: 12.5%)*	**(337)**	78
Effects of:		
Expenses not deductible for tax purposes	**555**	-
Group Relief	**(92)**	-
Capital Allowances	**(24)**	
Other Differences	**3**	(5)
Tax on profit on ordinary activities	**105**	73

8 Fixed assets

	Equipment €'000	Computer equipment €'000	Sterilisation facility €'000	Motor vehicles €'000	Leased assets €'000	Total €'000
Cost						
At beginning of year	1,671	1,927	504	33	34	4,169
Additions in year	247	-	-	-	-	248
Disposals in year	-	-	-	-	-	-
At end of year	**1,918**	**1,927**	**504**	**33**	**34**	**4,417**
Depreciation						
At beginning of year	972	1,913	504	33	34	3,456
Charge for year	128	14	-	-	-	142
Disposals for year	-	-	-	-	-	-
At end of year	**1,100**	**1,927**	**504**	**33**	**34**	**3,598**
Net book value						
At 31 December 2019	**818**	**-**	**-**	**-**	**-**	**818**
At 31 December 2018	699	14	-	-	-	713

9 Stocks

	2019 €'000	2018 €'000
Raw materials	**4,549**	3,638
Work in progress	**572**	912
Finished goods	**2,479**	1,882
	7,600	6,432

The replacement cost of stocks did not differ significantly from the amounts shown above. Stocks are stated net of a provision for obsolescence of €307,981 *(2018: €353,000)*. The write-down of stocks to net realisable value amounted to € nil (2018: *€nil)*.

ArcRoyal Unlimited Company

Notes *(continued)*

10 Debtors

	2019 €'000	2018 €'000
Trade debtors	**3,052**	4,408
Other Debtors	**11**	-
Prepayments	**277**	277
Amount due from parent undertaking	**34**	31
Amounts due from other group companies	**7,309**	7,719
Corporation tax	**122**	85
	10,805	12,520

All amounts fall due within one year excluding €33,524 *(2018: €132,189)* of amount due from the parent undertaking which is repayable after one year. The short term intercompany amounts are repayable on demand and are interest free. The long term amount due from the parent undertaking does not carry an interest charge and is repayable with 5 years.

11. Cash and Cash Equivalents

	2019 €'000	2018 €'000
Cash at Bank or in Hand	**937**	1,840
	937	1,840

12. Creditors: amounts falling due within one year

	2019 €'000	2018 €'000
Trade creditors	**5,090**	6,491
Accruals	**1,885**	1,386
PAYE/PRSI/Government levy	**212**	160
VAT	**236**	131
Amounts Due to other Group Companies	**2,201**	-
Deferred Tax Liability	**5**	5
	9,629	8,173

All amounts due to other Group Companies fall due within one year, are interest free and are repayable on demand

13. Called up share capital

	2019 €'000	2018 €'000
Authorised		
1,000,000 ordinary shares of €1 each	**1,000**	1,000
Allotted, called up and fully paid		
380,923 ordinary shares of €1 each	**381**	381

14 Post balance sheet events

We are subject to risks related to public health crises such as the global pandemic associated with the coronavirus (COVID-19).

As an affiliate of Owens & Minor Inc., a global healthcare solutions company, Owens & Minor Global Services Unlimited Company is impacted by public health crises such as the global pandemic associated with COVID-19.
The outbreak has significantly increased economic and demand uncertainty. In addition, public and private sector policies and initiatives to reduce the transmission of COVID-19, such as the imposition of travel restrictions and the adoption of remote working, have impacted our operations.
In these challenging and dynamic circumstances, we are working to protect our employees and the public, maintain business continuity and sustain our operations, including ensuring the safety and protection of the people who work in our production and distribution centers across the world, many of whom support the manufacturing and delivery of products that are critical in response to the global pandemic.
COVID-19 may impact our supply chains relative to global demand for our facial protection and protective apparel products.
COVID-19 may also affect the ability of suppliers and vendors to provide products and services to us. Some of these factors could increase the demand for our products, while others could decrease demand or make it more difficult for us to serve customers.
Furthermore, COVID-19 has impacted and may further impact the broader economies of affected countries, including negatively impacting economic growth, the proper functioning of financial and capital markets, foreign currency exchange rates, and interest rates.
We are closely monitoring the impact of COVID-19 on all aspects of our business and geographies, including how it will impact our customers, teammates, suppliers, vendors, and distribution channels.

15 Employee benefits

The company operates defined contribution schemes for eligible employees of the company.

The pension charge for the year was €144,678 (2018: €141,978). Pension contributions outstanding at year end amounted to €34,216 (2018: €25,651).

Notes *(continued)*

16 Related party transactions

The company has availed of the exemption in FRS 101.8(k), from the requirement to disclose related party transactions entered between two or more members of a group, provided that the subsidiary is wholly owned by such a member. Details on the group are set out in note 17.

17 Group membership

The company is a subsidiary undertaking of ArcRoyal Holdings, a company incorporated and operating in the Republic of Ireland.

The largest group in which the results of the company are consolidated is that headed by Owens and Minor Inc., incorporated in the United States of America. No other financial statements include the results of the company. The consolidated financial statements of the group are available to the public and may be obtained from 9120 Lockwood Boulevard, Mechanicsville, Virginia, USA.

18 Approval of financial statements

The board of directors approved these financial statements on 19 November 2020.

ArcRoyal Unlimited Company

Directors' report and
financial statements

Year ended 31 December 2019

Registered Number: 138763